NATIONAL COMPANY LAW TRIBUNAL
GUWAHATI BENCH

C.P.(CAA)/03/GB/2018
(Diary No.02(15) of 2018)

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of:

1) KB Cements Pvt. Ltd. ...Transferor Company/Applicant
2) Feegrade & Co. Pvt. Ltd. ...Transferee Company/Applicant

Coram:

Hon'ble Mr Justice P. K. Saikia, Member (J)

ORDER

Date of Order: 7th December 2018

Mr A.K. Srivastava, Mr A. Baruah, learned Advocates and Mr A. Sarmah, learned PCS are present for the applicants.

2. Seen the note of the Registry dated 22.11.2018 stating that the petition cannot be entertained since the same was not filed within the time limit prescribed in Rue 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (in short, Rules of 2016).

3. The aforesaid note of the Registry was duly communicated to Mr A. Sarmah, learned legal representative for the applicants. However, the learned legal representative for the applicants, referring to Rule 15 of the National Company Law Tribunal Rules, 2016 (in short, NCLT Rules 2016), submits that such condonation application is not applicable in the present proceeding, reason being that all the

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meetings of the shareholders and creditors, secured and unsecured, have been dispensed with vide order dated 30.07.2018. Since there was no meeting held while approving the scheme, there is no question of any delay occurring in the filing of the present proceeding. In that view of the matter, provisions of Rule 15 of the Rules of 2016 need not be adhered to.

4. On perusal of the applicant having regard to the submissions advanced, I am of the opinion that Rule 15 of the Rules of 2016 is not applicable in the present proceeding in view of the fact that all the meetings of the stakeholders, namely, shareholders and creditors, secured and unsecured, have been dispensed with.

5. Resultantly, Registry's note dated 26.11.2018 stands overruled.

6. The object of this petition is to obtain sanction of this Bench to the Scheme of Amalgamation proposed to be made between the Transferee Company, Feegrade & Co. Pvt. Ltd. and the Transferor Company, KB Cements Private Limited and their respective shareholders whereby and where under the entire undertaking of the Transferor Companies as a going concern together with all its assets and liabilities will stand transferred to and vested in the Transferee Company with effect from 1st April, 2017 in a manner provided in the Scheme of Amalgamation in Diary No. 02(15) of 2018.

7. A copy of the Scheme of Amalgamation is annexed with the petition and marked with "Annexure-A".

8. It is stated in the petition that the Transferor Company is engaged in the business of production and manufacture of cement and Transferee Company is engaged in the business of mining. The said scheme would lead to a more concentrated approach towards development of the business and the achievement of their objectives.

9. It is further stated that the proposed Amalgamation will lead to proactively decrease the average cost per unit through increased production which will achieve the economies of scale of the Transferee Company on next level where Transferee Company can enhance its businesses.

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10. Further, the proposed scheme will help the companies in the following manner:

a) *The proposed Amalgamation will lead to higher financial gain which may be in the form of tax advantage, higher credit worthiness and lower rate of borrowing*

b) *The proposed Amalgamation will lead to consolidate the Transferor Company with the Transferee Company which would help to minimize the costs of operation and would also help to streamline its operations*

c) *The proposed Amalgamation will lead to reduction in Administrative overheads of the Company.*

d) *The proposed Amalgamation will lead to optimum utilization of resources including manpower of all the Company.*

e) *The consolidated entity will offer a strong and stable financial structure to all stakeholders, facilitate resource mobilization and lead to the achievement of better cash flows and also optimum utilization of assets and resources. This will result in a substantial enhancement of shareholders value of the Transferee Company.*

f) *The said scheme will enable the Company concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages.*

g) *The said scheme will help bring beneficial results for the Company concerned, their shareholders, employees and all concerned.*

h) *The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability.*

i) *The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;*

j) *The said scheme will enable the Company concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;*

k) *The said scheme will have beneficial results for the Applicant Companies concerned, their shareholders, employees and all concerned.*

11. Vide Order dated 30.07.2018, passed by this Bench in Diary No. 02(15)/ 2018, the meeting of equity shareholders and creditors of both the Petitioner Companies were dispensed with.

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12. In terms of the said Order dated 30.07.2018, notice in CC-83 accompanied by a copy of the Scheme of amalgamation along with other required documents were sent to the Central Government/Regional Directors/Registrar of Companies, NE Region, Shillong/Official Liquidator and Income Tax Authority having jurisdiction over the Transferor Company.

13. In compliance with Rule 12 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Petitioner Companies filed an Affidavit of Service affirmed on 12.10.2018.

14. After such due compliance, the petitioners have moved the instant petition bearing No. CP (CAA)/03/GB/2018, before this Tribunal, among other things, seeking final sanction to the proposed scheme of Amalgamation.

15. Heard the arguments advanced from the side of the petitioners.

16. Let notice be served along with a copy of the Scheme of Amalgamation to the Central Government through the Regional Director, North-Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Shillong and to the concerned Assessing Officer along with the Chief Commissioner of Income Tax with PAN numbers of the Petitioner Companies and also to the Official Liquidator having jurisdiction over the transferor company through personal messenger or Speed Post and/or E-mail.

17. The notice shall specify that representation, if any, should be filed before this Tribunal within 30 days of the date of receipt of the notice with a copy of such representation being sent simultaneously to the petitioners and their Advocates. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no representation to make on the Scheme of amalgamation.

18. Let the advertisement of the hearing of the petition be published once in the English daily, "THE SHILLONG TIMES" and another in the vernacular Language newspaper, "KHASI DAILY OR MAWPHOR", stating the PAN numbers of all the Petitioner Companies, at least 10 days before the date fixed for hearing under Form No. NCLT 3A of the National Company Law Tribunal Rules, 2016 with necessary variations.

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19. The Petitioner Companies shall file an affidavit along with copy of notice within 15 days regarding service of notice.

20. The petition CP (CAA)/03/GB/2018, connected with Diary No. 02(15) of 2018 is fixed for hearing on 22.01.2018.

21. Certified copy of the Order may be issued, if applied for, upon compliance with all the requisite formalities.

sd/-

Member(Judicial)
National Company Law Tribunal
Guwahati Bench: Guwahati.

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